

3-1b Revenue and Expense Recognition

To be useful for decision making, financial statements must be provided on a periodic basis. As a result, the economic life of a business is divided into time periods such as a month, quarter of a year, or full year. Under accrual accounting, the net income of a period is reported using revenue and expense recognition principles.

Under the **revenue recognition principle**, revenues are recorded when earned, which is when the services have been performed or products have been delivered to customers. Revenue is normally measured as the assets are received, such as cash or accounts receivable.

Link to Netflix

Netflix's primary source of revenue is from monthly membership fees, which customers pay at the beginning of each month. The revenue is recorded as the monthly viewing period expires.

Under the **expense recognition principle**, the expenses incurred in generating revenue must be reported in the same period as the related revenue. This is also called the **matching principle** (A concept of accounting in which expenses are matched with the revenue generated during a period by those expenses.)

. By matching revenues and expenses, net income or loss for the period is properly reported on the income statement. Adjusting entries are required to properly match revenues and expenses.

Link to Netflix

Netflix acquires streaming content (such as a film) to be viewed over a specific period of time for a fixed cost. Netflix begins expensing the cost when the content is first available for viewing.